

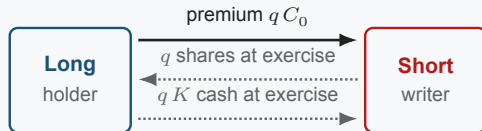
An option contract: a right and an obligation

The premium is paid once, at the open, whether or not the right is ever used

Call contract

THE RIGHT TO BUY AT K

- **Long (holder)** pays C_0 /share for the right to buy at K .
- **Short (writer)** collects C_0 , must deliver at K if assigned.
- At T , exercised when $S_T > K$: payoff $(S_T - K)^+$.

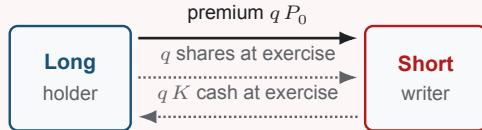


solid: always. dotted: only if $S_T > K$.

Put contract

THE RIGHT TO SELL AT K

- **Long (holder)** pays P_0 /share for the right to sell at K .
- **Short (writer)** collects P_0 , must buy at K if assigned.
- At T , exercised when $S_T < K$: payoff $(K - S_T)^+$.



solid: always. dotted: only if $S_T < K$.

European style exercises only at T ; American style on or before T . Commonly $q = 100$ shares/contract.